Accounting Standard 4

Events Occurring After the Balance Sheet Date

Full Answers in Provision → Application → Conclusion Format

Question 1 (Nov 2009) — Santhanam Ltd.

> *The Company invested ₹ 560 lakhs in April, 2009 in the acquisition of another company. Negotiations had started during the current financial year. Year ended 31.3.2009.*

Provision: As per Accounting Standard 4 (AS 4) titled "Contingencies and Events Occurring After the Balance Sheet Date," events occurring after the balance sheet date mean those significant events, both favourable and unfavourable, that take place between the balance sheet date and the date on which the financial statements are approved by the approving authority. These events are further divided into adjusting events and non-adjusting events. Adjusting events are those that provide additional evidence about conditions that already existed on the balance sheet date. Non-adjusting events are those that do not relate to conditions existing on the balance sheet date. For non-adjusting events, no change is made in the figures of the financial statements, but proper disclosure is required in the report of the approving authority so that users can understand the impact of such events.

Application: In the given case, Santhanam Ltd. made an investment of ₹ 560 lakhs in April, 2009 for acquiring another company. Although negotiations for this acquisition had started during the financial year 2008-09, the actual investment and completion of acquisition happened only after the balance sheet date of 31st March, 2009. On 31st March, 2009, the acquisition was not yet completed and therefore it cannot be said that the condition of acquisition existed on the balance sheet date. The event relates to a new transaction that arose after the year-end.

Conclusion: The acquisition is a non-adjusting event. The investment of ₹ 560 lakhs will not be shown in the balance sheet as on 31.3.2009. No adjustment is required in the financial statements for the year ended 31st March, 2009. However, disclosure regarding this investment should be made in the Report of the Board of Directors as required under AS 4.

Question 2 (June 2009) — Debtor loss due to earthquake and bankruptcy

> *A company made provision for bad debts @ 5% of total debtors. A debtor of ₹ 2 lakhs suffered heavy loss due to earthquake in the last week of February, 2009. The debtor became bankrupt in April, 2009. Year ended 31.3.2009.*

Provision: As per AS 4, assets and liabilities appearing in the financial statements should be adjusted for events occurring after the balance sheet date if such events provide additional evidence to assist in the estimation of amounts relating to conditions that existed on the balance sheet date. In simple words, if something happened after the year-end but it confirms a problem that was already present before the year-end, then adjustment is required in that year's accounts.

Application: In the given case, the debtor owed ₹ 2 lakhs to the company. In the last week of February, 2009, which is before the balance sheet date of 31st March, 2009, the debtor suffered heavy loss due to an earthquake and the loss was not covered by insurance. This means the debtor's financial position had already weakened before the year-end. In April, 2009, after the balance sheet date, the debtor became bankrupt. The bankruptcy does not create a new loss; it only confirms that the debt has become fully irrecoverable. The condition of non-recovery already existed at the balance sheet date.

Conclusion: This is an adjusting event. The company can and should make provision for the full loss of ₹ 2 lakhs in the final accounts for the year ended 31st March, 2009. A general provision of 5% on total debtors is not sufficient for this specific debtor.

Question 3 (Final Nov 2003) — Same facts as Question 2

> *Same situation as Question 2 with dates in the year 2003.*

Provision: According to AS 4, where an event occurring after the balance sheet date provides further evidence about a condition that existed on the balance sheet date, the financial statements should be adjusted to reflect the correct amount of assets and liabilities.

Application: In the given case, the debtor of ₹ 2 lakhs suffered loss due to earthquake in February, 2003, which is before 31st March, 2003. The debtor became bankrupt in April, 2003. The financial difficulty of the debtor was already present before the year-end. Bankruptcy is merely confirmation of the loss.

Conclusion: This is an adjusting event. The company should provide for the full loss arising out of the insolvency of the debtor in the final accounts for the year ended 31st March, 2003.

Question 4 (Final May 1995) — Earthquake after year-end

> *After the close of the accounting year, a severe earthquake destroyed a portion of the building and rolling mill beyond repair. The company's resources were inadequate to replace the destroyed assets.*

Provision: As per AS 4, events that do not relate to conditions existing at the balance sheet date are treated as non-adjusting events. For such events, assets and liabilities are not adjusted, but disclosure must be made regarding the nature of the event and its financial effect. Further, when such an event is very serious, the going concern assumption of the enterprise must also be carefully evaluated by the auditor or management.

Application: In the given case, the earthquake occurred after the close of the accounting year. A portion of the building and rolling mill was destroyed and the damage was beyond repair. This destruction did not exist on the balance sheet date. Moreover, the company's own resources were not adequate to replace the destroyed assets, which raises concern about the company's ability to continue as a going concern.

Conclusion: This is a non-adjusting event. No adjustment is required in the financial statements for the destruction of assets. The auditor should first examine whether the going concern assumption is still valid. If the enterprise can still continue as a going concern, disclosure should be made in the report of the approving authority regarding the nature of the earthquake and an estimate of the financial impact, or a statement that such estimate cannot be made.

Question 5 (Auditing May 2000) — Voluntary Retirement Scheme (VRS)

> *VV Ltd. announced VRS in January, 2000. By 31.3.2000, 200 employees had opted. Lump-sum payment would be ₹ 250 lakhs and future payments ₹ 1,500 lakhs. No provision was made up to 31.3.2000.*

Provision: As per AS 4, liabilities should be adjusted for events occurring after the balance sheet date when those events relate to conditions that existed at the balance sheet date. If an obligation has already arisen before the year-end, it must be recognised in that year's accounts even if actual payment is made later.

Application: In the given case, the Voluntary Retirement Scheme was announced in January, 2000 and was open till 30th June, 2000. As on 31st March, 2000, as many as 200 employees had already opted for the scheme. This means the company had already become obligated towards those employees on the balance sheet date. The lump-sum liability was ₹ 250 lakhs and future payments were estimated at ₹ 1,500 lakhs. Although no payment was made and no provision was created, the liability existed on 31st March, 2000.

Conclusion: AS 4 applies in this case. This is an adjusting event. The company should make appropriate provision in its accounts for the year ended 31st March, 2000 towards the liability arising under the VRS scheme.

Question 6 — Proposed dividend recommendation

> *Accounts for the year ended 31.3.2001 were approved on 19.5.2001. Directors recommended dividend @ 10% but feel it need not be disclosed since no obligation existed on 31.3.2001.*

Provision: As per AS 4 and the applicable legal requirements, dividend proposed or declared after the balance sheet date is not treated as a liability on the balance sheet date because no obligation to pay dividend existed on that date. However, such proposed dividend must be disclosed separately in the notes to accounts. Disclosure cannot be avoided merely because it does not represent a condition existing on the balance sheet date.

Application: In the given case, the Board of Directors of ABC Ltd. recommended dividend at the rate of 10% after the balance sheet date of 31st March, 2001. The accounts were approved on 19th May, 2001. The Directors argued that since no liability existed on

31st March, 2001, no disclosure is necessary. This argument is not correct because users of financial statements must be informed about the proposed dividend even though it is not a liability.

Conclusion: I do not agree with the Board of Directors. The proposed dividend is a non-adjusting event. It should not be recognised as a liability in the balance sheet as on 31st March, 2001, but it must be disclosed in the notes to accounts. Non-disclosure is not proper treatment.

Question 7 (Final Nov 2005) — Debtor became bankrupt in April, 2005

> *A debtor of ₹ 10 lakhs was in financial difficulty. Provision was made @ 20% only. The debtor became bankrupt in April, 2005 and nothing is recoverable. Year ended 31.3.2005.*

Provision: As per AS 4, adjustments to assets and liabilities are required for events occurring after the balance sheet date that provide additional information materially affecting the determination of amounts relating to conditions existing at the balance sheet date.

Application: In the given case, ABC Ltd. was aware that the debtor was in great financial difficulty. On 31st March, 2005, ₹ 10 lakhs was due from the debtor but provision was made only at 20%. In April, 2005, the debtor became bankrupt and nothing is recoverable from him. The bankruptcy confirms that the full amount had become irrecoverable, and this condition of doubtful recovery already existed before the year-end.

Conclusion: This is an adjusting event. The company should be advised to provide for the entire amount of ₹ 10 lakhs in the books of account for the year ended 31st March, 2005 in accordance with AS 4.

Question 8 — Extra cost after approval of accounts

> *Accounting year ended 30.6.1998. Accounts approved on 20.8.1998. On 1.9.1998, extra cost of ₹ 80 lakhs was estimated due to rocky surface during pipeline boring.*

Provision: AS 4 applies only to events occurring after the balance sheet date but before the date on which the financial statements are approved by the approving authority. Events occurring after the approval of financial statements are outside the scope of AS 4.

Application: In the given case, the accounting year ended on 30th June, 1998 and the accounts were approved by the Board on 20th August, 1998. The extra cost due to rocky surface became evident on 1st September, 1998, which is after the approval date. Therefore, this event does not fall within the period covered by AS 4.

Conclusion: This is not an event occurring after the balance sheet date under AS 4. No adjustment is required in the financial statements for the year ended 30th June, 1998. If the additional cost is material, the matter may be disclosed in the Directors' Report for the information of users.

Question 9 — R Ltd. acquisition in April, 1998

> *R Ltd. invested ₹ 100 lakhs in April, 1998 for acquisition of another company. Negotiations had started during the financial year. Year ended 31.3.1998.*

Provision: As per AS 4, where an event occurring after the balance sheet date does not relate to any condition existing on that date, it is treated as a non-adjusting event. Such events do not require adjustment but require disclosure in the report of the approving authority if they are material.

Application: In the given case, although negotiations for acquisition started during the financial year, the actual investment of ₹ 100 lakhs was made in April, 1998, which is after 31st March, 1998. The acquisition was not completed on the balance sheet date.

Conclusion: This is a non-adjusting event. No adjustment is required in the financial statements for the year ended 31st March, 1998. Disclosure regarding the investment should be made in the report of the approving authority.

Question 10 — Cash theft detected before approval

> *Cash theft of ₹ 5 lakhs by cashier in January 20X1. Detected in May 20X1. Accounts for year ended 31.3.20X1 were not yet approved.*

Provision: As per AS 4 (Revised), where fraud or error relating to the accounting period is discovered after the balance sheet date but before the approval of financial statements, it is necessary to recognise the loss in the accounts of that period because the loss relates to the conditions existing during that period.

Application: In the given case, cash theft of ₹ 5 lakhs was committed by the cashier in January 20X1, which falls within the accounting period ended 31st March, 20X1. The theft was detected in May 20X1, which is after the balance sheet date but before the approval of financial statements by the Board of Directors.

Conclusion: This is an adjusting event. The loss of ₹ 5 lakhs should be adjusted and recognised in the accounts for the year ended 31st March, 20X1.

Question 11 — Earthquake destroyed warehouse after year-end

> *Earthquake on 20.5.20X2 destroyed a major warehouse. Year ended 31.3.20X2. Accounts approved on 30.6.20X2. Estimated loss ₹ 30 lakhs.*

Provision: As per AS 4, adjustments to assets and liabilities are not appropriate for events occurring after the balance sheet date if those events do not relate to conditions existing at the balance sheet date. However, material non-adjusting events must be disclosed in the report of the approving authority.

Application: In the given case, the earthquake took place on 20th May, 20X2, which is after the balance sheet date of 31st March, 20X2. The destruction of the warehouse did not exist as a condition on the balance sheet date. The estimated loss is ₹ 30 lakhs. The accounts were approved on 30th June, 20X2, so the event falls within the disclosure period of AS 4 but not within adjusting event criteria.

Conclusion: This is a non-adjusting event. The loss of ₹ 30 lakhs should not be recognised in the financial statements for the year 20X1-20X2. The earthquake and the estimated loss must be disclosed in the Board's Report so that users of financial statements can properly evaluate the affairs of the company.

Question 12 — Legal suit against debtor, recovery not probable

> *Legal suit filed against debtor for ₹ 15 lakhs as on 31.3.20X1. Legal opinion in April, 20X1 stated that chances of recovery are not good.*

Provision: As per AS 4, assets and liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist the estimation of amounts relating to conditions existing at the balance sheet date.

Application: In the given case, ₹ 15 lakhs was recoverable from a debtor as on 31st March, 20X1 and a legal suit had already been filed. In April, 20X1, legal counsel opined that chances of recovery from the suit are not good. Although the final outcome of the suit will be known only in future, the situation of non-recovery from the debtor already existed before finalisation of the financial statements.

Conclusion: This is an adjusting event. The company should make full provision for doubtful debts amounting to ₹ 15 lakhs in the accounts for the year ended 31st March, 20X1.

Question 13 — R Ltd. acquisition in April, 20X1

> *R Ltd. invested ₹ 100 lakhs in April, 20X1 before approval of financial statements for acquisition of another company. Negotiations started during the year. Year ended 31.3.20X1.*

Provision: AS 4 (Revised) defines events occurring after the balance sheet date as significant events occurring between the balance sheet date and the date of approval of financial statements. No adjustment is required when the event does not affect the determination of amounts relating to conditions existing at the balance sheet date.

Application: In the given case, the company invested ₹ 100 lakhs in April, 20X1 for acquisition of another company. Negotiations had started during the year, but the investment was actually made after 31st March, 20X1 and before approval by the Board. The acquisition was not a completed condition on the balance sheet date.

Conclusion: This is a non-adjusting event. No adjustment to assets and liabilities is required in the financial statements for the year ended 31st March, 20X1. Disclosure of the investment of ₹ 100 lakhs should be made in the report of the approving authority to enable users to make proper evaluation.

Question 14 — Pipeline extra cost after approval (20X1)

> *Year ended 30.6.20X1. Accounts approved on 20.8.20X1. Extra cost of ₹ 80 lakhs estimated on 1.9.20X1 due to rocky surface.*

Provision: AS 4 covers only those events which occur between the balance sheet date and the date of approval of financial statements by the Board of Directors in the case of a company.

Application: In the given case, the balance sheet date is 30th June, 20X1 and accounts were approved on 20th August, 20X1. The extra cost became evident on 1st September, 20X1, which is after the date of approval. Hence, it is outside the scope of AS 4.

Conclusion: This event is not covered by AS 4. No adjustment is required in the financial statements for the year ended 30th June, 20X1. If the matter is material, disclosure may be made in the Directors' Report.

Question 15 — Earthquake before year-end, bankruptcy after year-end

> *Provision for bad debts @ 5% of trade receivables. Debtor of ₹ 2 lakhs suffered earthquake loss in last week of February, 20X1. Debtor became bankrupt in April, 20X1. Year ended 31.3.20X1.*

Provision: As per AS 4, assets and liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist estimation of amounts relating to conditions existing at the balance sheet date.

Application: In the given case, the debtor suffered heavy loss due to earthquake in the last week of February, 20X1, which is before 31st March, 20X1. The debtor became bankrupt in April, 20X1. The weakness in recovery of this specific debtor already existed on the balance sheet date. Bankruptcy is only a confirmation of complete loss. A general provision of 5% on all debtors is insufficient.

Conclusion: This is an adjusting event. Full provision for bad debts amounting to ₹ 2 lakhs should be made in the final accounts for the year ended 31st March, 20X1. If the earthquake had occurred after 31st March, 20X1, it would have been a non-adjusting event and only disclosure would have been sufficient.

Question 16 — Raj Ltd. trademark infringement suit

> *Raj Ltd. was sued for ₹ 15 lakhs and provided ₹ 10 lakhs. Court ordered payment of ₹ 14 lakhs on 18.5.20X2. Financial statements prepared on 30.4.20X2 and approved on 30.5.20X2.*

Provision: As per AS 4 (Revised), adjustments are required for events occurring after the balance sheet date but before approval of financial statements that provide additional information materially affecting the determination of amounts relating to conditions existing at the balance sheet date.

Application: In the given case, Raj Ltd. was sued by a competitor during the year 20X1-20X2 for infringement of trademark and the company had made a provision of ₹ 10 lakhs. On 18th May, 20X2, the Court decided against Raj Ltd. and ordered payment of ₹ 14 lakhs. The financial statements were prepared on 30th April, 20X2 and approved on 30th May, 20X2. The court decision occurred before approval and the suit itself existed before the year-end.

Conclusion: This is an adjusting event. Raj Ltd. should increase the provision by ₹ 4 lakhs so that the total provision becomes ₹ 14 lakhs in the financial statements for the year ended 31st March, 20X2. If the judgment had been delivered on 1st June, 20X2 after approval on 30th May, 20X2, AS 4 would not apply and no adjustment would be required.

Question 17 — Alpha Ltd. (Approved on 15.7.20X2)

(i) Suit filed on 20.4.20X2 claiming damages of ₹ 25 lakhs

Provision: As per AS 4, adjustment is required only for events relating to conditions existing at the balance sheet date. Contingencies under AS 4 are restricted to conditions existing at that date.

Application: In the given case, the suit against the company's advertisement was filed on 20th April, 20X2, which is after the balance sheet date of 31st March, 20X2. The claim did not exist on the balance sheet date.

Conclusion: This is a non-adjusting event. It is not a contingency under AS 4. Disclosure should be made in the report of the approving authority if the event is material.

(ii) Acquisition terms decided in March, 20X2; ₹ 50 lakhs invested in April, 20X2

Provision: As per AS 4, where the terms and conditions of a transaction have been finalised before the balance sheet date, the subsequent payment or completion before approval is treated as an adjusting event because the commitment existed at the year-end.

Application: In the given case, terms and conditions for acquisition of business of another company had been decided by March, 20X2, but financial resources were arranged in April, 20X2 and ₹ 50 lakhs was invested before approval on 15th July, 20X2.

Conclusion: This is an adjusting event. The acquisition commitment should be reflected in the financial statements for the year ended 31st March, 20X2.

(iii) Theft on 31.3.20X2; detected on 16.7.20X2

Provision: AS 4 applies only to events occurring after the balance sheet date and before the date of approval of financial statements.

Application: In the given case, theft of cash of ₹ 5 lakhs took place on 31st March, 20X2, but it was detected on 16th July, 20X2, which is after the approval date of 15th July, 20X2.

Conclusion: This event is not covered by AS 4. No adjustment is required in the approved financial statements. The loss will be accounted for in the next accounting period.

Question 18 (July 21 & RTP May 2024) — Surya Limited

(i) Suit filed on 5.4.2021 claiming damages of ₹ 5 lakhs

Provision: As per AS 4, events are classified as adjusting or non-adjusting depending upon whether the related condition existed on the balance sheet date of 31st March, 2021.

Application: The suit was filed on 5th April, 2021 after the year-end. No such claim existed on 31st March, 2021.

Conclusion: This is a non-adjusting event. It is not a contingency under AS 4. Disclosure is required if the event is material.

(ii) Property sale proposal in March, 2021; deed registered on 15.4.2021

Provision: As per AS 4, non-adjusting events are those that do not relate to conditions existing at the balance sheet date and therefore do not require adjustment in financial statements.

Application: In the given case, the company sent a proposal to sell immovable property in March, 2021. Book value was ₹ 30 lakhs and sale price was ₹ 45 lakhs. However, the deed was registered only on 15th April, 2021. A mere proposal without binding completion did not exist as a final condition on 31st March, 2021.

Conclusion: This is a non-adjusting event. No adjustment is required on 31st March, 2021. Disclosure regarding the subsequent sale may be made in the Board's Report.

(iii) Acquisition terms decided by March, 2021; ₹ 50 lakhs invested in April, 2021

Provision: As per AS 4, when terms and conditions of acquisition are finalised before the balance sheet date, subsequent investment before approval is an adjusting event.

Application: In the given case, terms and conditions for acquisition were decided by the end of March, 2021 and ₹ 50 lakhs was invested in April, 2021 before approval of financial statements.

Conclusion: This is an adjusting event. It should be reflected in the financial statements for the year ended 31st March, 2021.

(iv) Theft in March, 2021 detected after approval of financial statements

Provision: AS 4 applies only between the balance sheet date and the date of approval of financial statements.

Application: In the given case, theft of cash amounting to ₹ 4 lakhs was done in March, 2021 but was detected on the next day after the financial statements had already been approved by the Directors.

Conclusion: This event is not covered by AS 4. No adjustment is required in the approved financial statements. The loss will be accounted for in the subsequent period.

Question 19 — Sale of building, legal formalities pending

> *A Ltd. sold building for ₹ 50 lakhs to B Ltd. and gave possession. Book value ₹ 30 lakhs. Legal formalities pending on 31.3.20X1. Amount shown as advance.*

Provision: As per the principle of substance over form, if the economic substance of a transaction shows that risks and rewards or beneficial interest have substantially transferred, the transaction should be recorded accordingly even if legal formalities are still pending.

Application: In the given case, A Ltd. sold its building for ₹ 50 lakhs to B Ltd., gave possession to the buyer, and the book value of the building was ₹ 30 lakhs. Although documentation and legal formalities were pending on 31st March, 20X1, the company treated the amount received as advance and did not record the sale. In substance, the sale was completed because possession had been transferred.

Conclusion: I do not agree with the treatment followed by the company. The sale should be recognised in the accounts, the building should be derecognized, and profit of ₹ 20 lakhs should be recorded in the financial statements for the year ended 31st March, 20X1.

Question 20 (CA Inter Dec 2021) — Year ended 31.3.2021; Approved 10.7.2021

(i) Equity dividend @ 7% declared on 15.5.2021

Provision: As per AS 4, dividend proposed or declared after the balance sheet date is not a liability at the balance sheet date because no obligation existed on that date.

Application: In the given case, equity dividend at 7% was declared on 15th May, 2021 for the financial year 2020-21. The year ended on 31st March, 2021 and accounts were approved on 10th July, 2021. No liability for dividend existed on 31st March, 2021.

Conclusion: This is a non-adjusting event. No liability should be recognised in the balance sheet. The proposed dividend should be disclosed in the notes to accounts.

(ii) Cash fraud of ₹ 53,000 — collected on 5.3.2021, detected on 22.6.2021

Provision: As per AS 4, events occurring after the balance sheet date that relate to conditions existing at the balance sheet date require adjustment in the financial statements. Fraud committed during the accounting period is such a condition.

Application: In the given case, ₹ 53,000 was collected from a customer on 5th March, 2021 but was not deposited by the cashier. The fraud was detected on 22nd June, 2021, which is after the balance sheet date but before approval on 10th July, 2021. The fraud relates to the year ended 31st March, 2021.

Conclusion: This is an adjusting event. The loss of ₹ 53,000 should be adjusted in the accounts for the year ended 31st March, 2021.

(iii) Fire on 23.5.2021 — estimated loss ₹ 81 lakhs

Provision: As per AS 4, adjustment is not required for events occurring after the balance sheet date that do not relate to conditions existing at that date. However, disclosure is required for material non-adjusting events.

Application: In the given case, a building was damaged by fire on 23rd May, 2021 with estimated loss of ₹ 81 lakhs. The year ended on 31st March, 2021. The fire occurred after the year-end and therefore did not exist as a condition on the balance sheet date.

Conclusion: This is a non-adjusting event. No adjustment is required in the accounts for the year ended 31st March, 2021. The nature of the event and estimated loss of ₹ 81 lakhs should be disclosed in the report of the approving authority.

Question 21 (CA Inter Nov 2022) — MN Limited (Approved 15.6.2022)

(i) Fire on 7.4.2022 — loss ₹ 15 crores (fully insured)

Provision: As per AS 4, events that do not relate to conditions existing at the balance sheet date are non-adjusting events. For material events, disclosure is required. The going concern assumption should also be evaluated where the event is significant.

Application: In the given case, on 7th April, 2022 a fire destroyed a manufacturing plant with estimated loss of ₹ 15 crores. The year ended on 31st March, 2022 and accounts were approved on 15th June, 2022. The fire occurred after the year-end. The loss is expected to be fully covered by insurance.

Conclusion: This is a non-adjusting event. No adjustment for the loss is required in the financial statements because insurance recovery is expected. The event should be disclosed by way of note. Going concern should be assessed, and if the assumption remains valid, the enterprise may continue to be shown as a going concern.

(ii) Patent breach claim of ₹ 12 crores received before year-end

Provision: As per AS 29 "Provisions, Contingent Liabilities and Contingent Assets," a provision is recognised only when there is a present obligation, outflow is probable, and amount can be reliably estimated. If outflow is not probable, disclosure as contingent liability is required.

Application: In the given case, a claim of ₹ 12 crores for patent breach was received before 31st March, 2022. Management and legal counsel believe that the claim is baseless and is likely to fail, although significant legal fees will be incurred in defending the case.

Conclusion: No provision for ₹ 12 crores is required because payment is not probable. The claim should be disclosed as a contingent liability under AS 29 with full details. Provision for expected legal fees may be made to the extent the amount can be reliably estimated and is not expected to be recovered.

(iii) Property sale — contract exchanged 15.3.2022; finalized 15.5.2022

Provision: As per AS 4, where a binding contract or agreement exists before the balance sheet date, completion of the transaction after the year-end but before approval of accounts is treated as an adjusting event.

Application: In the given case, the property had a book value of ₹ 37,50,000. Contract for sale was exchanged on 15th March, 2022, which is before the year-end. The sale was finalized on 15th May, 2022 for ₹ 39,75,000 before approval on 15th June, 2022. Thus, the sale was substantially agreed before 31st March, 2022.

Conclusion: This is an adjusting event. The sale should be recognised in the financial statements for the year ended 31st March, 2022 and profit on sale of ₹ 2,25,000 should be recorded in those accounts.

Quick Revision Chart

1. Adjusting Event: Condition existed on balance sheet date → Adjust assets/liabilities in accounts.

2. Non-adjusting Event: Condition did not exist on balance sheet date → No adjustment, disclose in Board's Report or Notes.

3. After Approval: Not covered by AS 4 → Treat in next year's accounts.

4. Proposed Dividend: Not a liability → Disclose in Notes to Accounts only.

5. Fraud/Theft during year detected before approval: Adjusting Event → Recognise loss in same year.

6. Terms finalised before year-end, payment after year-end: Adjusting Event → Reflect in accounts.